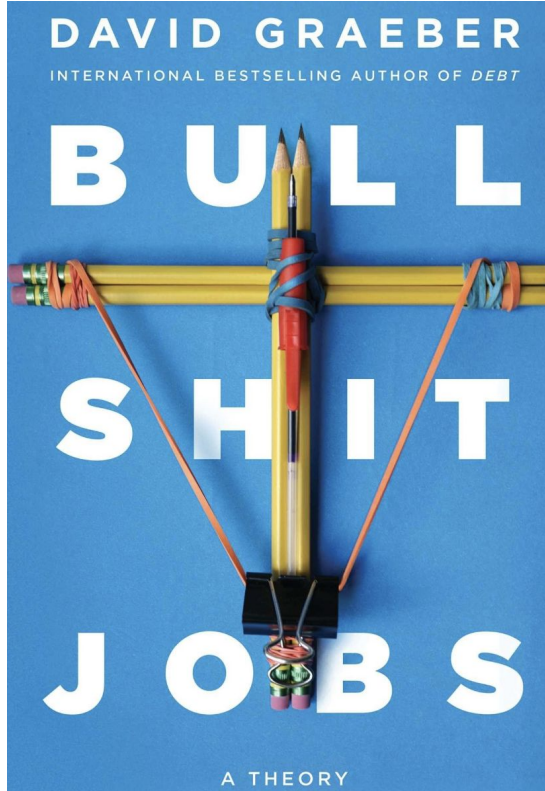




I like this theory best, because it explains why firms are so quick to cut real jobs (teachers, clerks, waiters, ticket-takers, and other people who interact with the public and do the business of the business) but so reluctant to trim the thick bureaucratic layer surmounting all. From the perspective of a VP hoping to get a raise, the company's profitability (driven by a motivated, valued and robust workforce of non-bullshit workers) is secondary; the primary factor is beating all the other VPs. When asked to make cuts, any VP who erodes his retinue suffers hits to his bonus, while making cuts to useful workers may erode the firm's profitability and cause it eventually crash and burn, but that will be someone else's problem.